from the West to the seaboard was promised. The election of General Grant as president was almost a settled thing; and if he was elected, the policy of the Government would be an immediate resumption of specie payment. Money was easy as an old shoe. When money is easy, stocks go up. Because at such times people have got the means to margin large holdings and so are hopeful and Bullish. It was about the last time in the world, one would have said, to begin a Bear campaign. But that's really just the time in which to begin it. Because the way to make money in Wall Street, if you are an insider, is to calculate on what the common people are going to do, and then go and do just the opposite. When everybody is Bullish, that is just the time when you can make the most money as a Bear, if you work it right. And we of our little clique thought we could work it right.

When money is easy the public buys stocks, and so the prices go up. The way to do, we calculated, would be to make money tight. Then people would sell, prices would go down, and we could cover our short contracts at a fine low figure. In this work of making money tight we were helped by one fact. The Government, in order to resume specie payments, had adopted a policy of contracting the amount of greenbacks in circulation. It was refusing to reissue greenback notes after it had once got them back into its vaults.

The way to make money in Wall Street . . . is to calculate on what the common people are going to do, and then go and do just the opposite.

But that wasn't enough to tighten the currency to the point where it would serve our ends. So we set about working it ourselves. For this purpose we made a pool of money to the amount of fourteen millions. Fisk and Gould provided ten millions, and I agreed to put in four millions.